

Take textiles. Textile companies have been around since the nineteenth century. JP Stevens got started in 1899, West Point-Pepperell in 1866—these are the corporate equivalents of the Daughters of the American Revolution. When you’ve been through six wars, ten booms, fifteen busts, and thirty recessions, you tend not to get excited by anything new. You’re also strong enough to admit readily to adversity.

The investor relations people in textiles have picked up enough of this old-guard attitude that they manage to sound unenthusiastic when business is terrific, and absolutely downcast when business is good. And if business is poor, you’d think by the spirit of the interviews that the executives were hanging themselves by their percale sheets out the windows of their offices.

Let’s say you call up and inquire about the wool-worsted business. “Mediocre,” they say. Then you ask about polyester-blend shirts, and they answer, “Not so hot.” “How’s denims?” you wonder. “Ah, it’s been better.” But when they give you the actual numbers, you realize that the company is doing great.

That’s just how it is in textiles, and in mature industries in general. ***When looking at the same sky, people in mature industries see clouds where people in immature industries see pie.***

Take apparel companies, which make the finished products from textiles. These companies have a tenuous existence and are forever disappearing from financial life. For the number of times they’ve declared [Chapter 11](#), you’d think it was an amendment to the Constitution. Yet you’ll never hear the word “mediocre” from an apparel person, even when sales are disastrous. The worst you’d ever hear from an apparel person during a retailers’ Black Plague would be that things were “basically okay.” And when things are basically okay, you’ll hear that the situation is “fantastic,” “unbelievable,” “fabulous,” and “out of this world.”

The technology people and the software people are equally Pollyannaish. You can almost assume that the more tenuous the enterprise, the more optimistic the rhetoric is going to be. From what I hear from the software people, you’d think that there’s never been a down year in the history of software. Of course, why shouldn’t they be upbeat? With so many competitors in software, you have to sound upbeat. If you appear to lack confidence, some other sweet-talker will win all the contracts.

But there’s no reason for the investor to waste time deciphering the corporate vocabulary. It’s simpler to ignore all the adjectives.

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